Rs 10 lakh or in the premium segment sold five times faster in the past fiscal than lower-priced cars. The market for entry-level passenger cars, two-wheelers and three wheelers is yet to recover. Low demand courtesy falling incomes is one factor; a third hike in the repo rate and the continuing inflation have contributed to the stress. 'In India,' Crisil notes, 'first-time users or those upgrading from used cars typically buy the lower-priced cars. With the pandemic significantly impacting the income sentiment of entry-level car buyers, purchases and upgrades have been getting postponed.' Hence the lopsided recovery in the auto sector.

Some categories of consumer durables are displaying a similar tendency. Devita Saraf, chairman and CEO of Vu Televisions, tells INDIA TODAY that the demand for high-end TVs—with a price tag of Rs 50,000 and above and size 55 inches and above—has grown fourfold since before the pandemic. "This segment is growing," says Saraf. "Suddenly, people who had the capacity to buy one TV are buying multiple TVs. But the demand for smaller TVs—32 inch and 24 inch—is sluggish." According to point-of-sale retail data by GfK Market Intelligence, 'The television market witnessed a volume decline of 1.2 per cent in January-April 2022 versus January-April 2021. During the same period, the smart TV segment grew 10 per cent in terms of volumes.' TV is among the products with the deepest penetration in electronics, with a reach of 65 per cent. BNP Paribas India pegs the TV market to be Rs 25,000 crore.

Kumar Rajagopalan, CEO, Retailers' Association of India, echoes a somewhat similar sentiment. "Most items," he says, "have witnessed inflation. Retailers are indicating that higher-priced items are selling well, but lower-priced items are not seeing as much growth. This clearly shows that while the upper middle and elite class are shopping, lower income group customers are not shopping much."

THE MISSING JOBS

Demand for work under the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) went up significantly. If around 23.26 million households demanded work under the scheme in April, 30.74 million households did so in May and 31.67 million in June. If demand dropped in July to 20.43 million, it was due to the monsoon affecting sites where MGNREGA work is provided, but was still higher than the comparable periods before the pandemic. Until August 3, about Rs 40,000 crore of the Rs 73,000 crore budgeted for the scheme, or nearly 55 per cent, had been spent in the first four months of the fiscal. Economic policy experts point out that the scheme has not recorded such demand since its inception in 2006 and is reflective of rural distress, inflation and unemployment. MGNREGA workers have been also demanding higher wages; the national capital witnessed a three-day protest starting August 4 in which workers from more than 15 states took part. They demanded that the wage be increased to Rs 600 a day—from Rs 210 a day currently—as the seventh pay commission had recommended. Compared to wage growth in listed companies, which has been in double digits, rural wage growth has hovered at 5-6 per cent. This is lower than inflation levels, which have remained above 6 per cent for eight months now.



"MGNREGA should be extended to all, or a corresponding scheme implemented in urban India"

D.K. SRIVASTAVA
Chief policy advisor, EY india



DEBAJYOTI CHAKRABORTY

India's unemployment rate shot up to 8.3 per cent in August—the highest in the past year. CMIE data did reflect some recovery in July over the month before—from 13 million jobs lost in June, the number came down to 6.3 million in July. But as a CMIE analysis observed, 'All the recovery is in agriculture.'

Indeed, the industrial and services sectors saw a fall for two months. The industrial sector lost 200,000 jobs in July, after losing 4.3 million jobs in June. The services sector lost 2.8 million jobs in July, after having lost 800,000 in June. Construction jobs saw an uptick, but they are considered low-quality. Manufacturing is yet to recover from the loss of employment during the pandemic. Employment has been hovering around 30-34 million, compared to 40 million before the pandemic. 'This is a significant fall in employment by the manufacturing sector,' according to CMIE. 'The fall in manufacturing employment in the past two months is concentrated in large organised industries like chemicals and metals.'

High net imports and weaker government consumption expenditure, meanwhile, have kept overall growth soft in the first quarter, says Crisil. India's imports grew faster than its exports, widening the current account deficit. Imports, with a 27.8 per